

In the
Court of Appeals
Sixth Appellate District of Texas at Texarkana

No. 06-26-00083-CV

ADEPT MACHINE TOOLS, INC., Appellant

V.

LINDSEY UNDERWOOD, INDIVIDUALLY AND AS INDEPENDENT ADMINISTRATOR OF THE ESTATE OF CHARLES TRENT UNDERWOOD, ET AL., Appellees

On Appeal from the 102nd District Court
Red River County, Texas
Trial Court No. CV05658

Before Stevens, C.J., van Cleef and Rambin, JJ.
Memorandum Opinion by Justice van Cleef

MEMORANDUM OPINION

Charles Trent Underwood was working for Martin Sprocket and Gear, Inc. as a Hyundai-WIA Corp. LV 800R computer numerical control (CNC) vertical lathe-machine (Machine) operator when the Machine ejected a spinning object that beat its metal door open "with such force that [Charles] was thrown back . . . several feet," causing his death. Charles's wife, Lindsey Underwood, sued Adept Machine Tools, Inc., among other parties, individually and as Independent Administrator of the Estate of Charles Trent Underwood, along with Jerry Underwood, and Marcia Lewis (collectively referred to as Underwood).[1] Adept, a foreign corporation with its principal place of business in North Carolina, filed a special appearance, which the trial court denied. In this accelerated appeal, Adept argues that the trial court erred by finding that it had personal jurisdiction over Adept. Finding no error in the trial court's exercise of specific jurisdiction over Adept, we affirm the denial of Adept's special appearance.

I. Standard of Review

"On appeal, we review de novo the trial court's determination to grant or deny a special appearance." *Chongqing Huansong Indus. Grp. Imp. & Exp. Trade Co. v. Swanson*, No. 06-20-00045-CV, 2021 WL 1031542, at *5 (Tex. App.—Texarkana Mar. 18, 2021, pet. denied) (mem. op.) (quoting *Hitachi Shin Din Cable, Ltd. v. Cain*, 106 S.W.3d 776, 781 (Tex. App.—Texarkana 2003, no pet.)). Thus, "[w]hether a trial court has personal jurisdiction over a nonresident defendant is a question of law that we review de novo." *Id.* (alteration in original) (quoting *Schexnider v. E-Cig Cent., LLC*, No. 06-20-00003-CV, 2020 WL 6929872, at *3 (Tex. App.—

[1]Jerry and Marcia are Charles's surviving parents.

Texarkana Nov. 25, 2020, no pet.) (mem. op.) (quoting *Wilco Farmers v. Carter*, 558 S.W.3d 197, 201 (Tex. App.—Texarkana 2018, no pet.) (quoting *Old Republic Nat'l Title Ins. Co. v. Bell*, 549 S.W.3d 550, 558 (Tex. 2018) (citing *Moncrief Oil Int'l Inc. v. OAO Gazprom*, 414 S.W.3d 142, 150 (Tex. 2013))))).

Where, as here, "no findings of fact and conclusions of law are made by the trial court, 'we infer "all facts necessary to support the judgment and supported by the evidence."'" *Id.* (quoting *Schexnider*, 2020 WL 6929872, at *3 (quoting *Wilco Farmers*, 558 S.W.3d at 201–02 (quoting *Moki Mac River Expeditions v. Drugg*, 221 S.W.3d 569, 574 (Tex. 2007) (quoting *BMC Software Belgium, N.V. v. Marchand*, 83 S.W.3d 789, 795 (Tex. 2002))))). "However, '[w]hen the appellate record includes the reporter's and clerk's records, these implied findings are not conclusive and may be challenged for legal and factual sufficiency in the appropriate appellate court.'" *Id.* (alteration in original) (quoting *Schexnider*, 2020 WL 6929872, at *3 (quoting *BMC Software*, 83 S.W.3d at 795 (citing *Roberson v. Robinson*, 768 S.W.2d 280, 281 (Tex. 1989) (per curiam); *Zac Smith & Co. v. Otis Elevator Co.*, 734 S.W.2d 662, 666 (Tex. 1987)))). "In considering whether the evidence supports the trial court's ruling, '[w]e consider all of the jurisdictional evidence before the trial court.'" *Id.* (alteration in original) (quoting *Schexnider*, 2020 WL 6929872, at *3 (quoting *Cagle v. Clark*, 401 S.W.3d 379, 387 (Tex. App.—Texarkana 2013, no pet.) (citing *Townsend v. Univ. Hosp.-Univ. of Colo.*, 83 S.W.3d 913, 919 (Tex. App.—Texarkana 2002, pet. denied)))).

When a defendant challenges whether the trial court has personal jurisdiction over it, "the plaintiff and the defendant have shifting burdens of proof." *Id.* at *6 (quoting *Schexnider*, 2020

WL 6929872, at *3 (citing *Wilco Farmers*, 558 S.W.3d at 202 (citing *Kelly v. Gen. Interior Const., Inc.*, 301 S.W.3d 653, 658 (Tex. 2010)))). "First, '[i]t is the plaintiff's initial burden to plead sufficient allegations to invoke jurisdiction under the Texas long-arm statute.'" *Id.* (alteration in original) (quoting *Schexnider*, 2020 WL 6929872, at *3 (quoting *Wilco Farmers*, 558 S.W.3d at 202 (citing *Moki Mac*, 221 S.W.3d at 574))). "The nonresident defendant must then negate all bases of jurisdiction in the plaintiff's allegations." *Id.* (quoting *Schexnider*, 2020 WL 6929872, at *3 (quoting *Wilco Farmers*, 558 S.W.3d at 202)). "Jurisdiction can be negated on either a factual or legal basis." *Id.* (quoting *Schexnider*, 2020 WL 6929872, at *3 (quoting *Wilco Farmers*, 558 S.W.3d at 202 (citing *Kelly*, 301 S.W.3d at 659))). "The defendant can factually negate the plaintiff's allegations by presenting evidence that it has no contacts with Texas." *Id.* (quoting *Schexnider*, 2020 WL 6929872, at *3 (quoting *Wilco Farmers*, 558 S.W.3d at 202)). "The plaintiff must then respond with evidence affirming its jurisdictional allegations, or risk dismissal of its lawsuit by failing to do so." *Id.* (quoting *Schexnider*, 2020 WL 6929872, at *3 (quoting *Wilco Farmers*, 558 S.W.3d at 202)). To negate personal jurisdiction allegations in a plaintiff's petition, the defendant must show:

> that even if the allegations are true, either (1) the evidence is legally insufficient to establish jurisdiction; (2) the defendant's contacts with Texas do not amount to purposeful availment; (3) for specific jurisdiction, that the plaintiff's claims do not arise from the defendant's contacts; or (4) that the exercise of jurisdiction would offend the traditional notions of fair play and substantial justice.

Id. (quoting *Schexnider*, 2020 WL 6929872, at *3 (quoting *Wilco Farmers*, 558 S.W.3d at 202)).

II. Factual and Procedural Background

In their live petition, Underwood explained how the accident occurred. Their petition states that Charles "clamped" a metal sprocket into the Machine's chuck, which was meant to keep the sprocket in place during operation. Then, Charles "closed the Machine's door, and started the program." Their petition states that, "[a]t some point during the machining process, and while the heavy steel sprocket was spinning at a very high rate of speed, or many rotations per minute, the steel sprocket was released from the [c]huck, sending it flying about within the enclosed operating area of the Machine." As a result, their petition states that when "the steel sprocket made its way around the Machine, it finally struck the Machine's metal door with such force that it caused the door to be forced outward."

Underwood asserted claims for negligence, gross negligence, and breach of the warranty of merchantability against Adept and others. They alleged in their petition that "[o]nce the Machine was delivered to and assembled in the United States, Hyundai America notified its licensed distributors," including Hillary Machinery, Inc., that the Machine was available for sale. According to their petition, Hillary notified Martin Sprocket of the Machine, and Martin Sprocket purchased it after Hillary communicated with Adept about modifying the Machine according to Martin Sprocket's specifications. Specifically, their petition states that Adept modified the Machine by installing a "[twenty-four inch] HC Series Sealed Power Chuck – 3 – Jaw, High-Speed, Closed – Center Power Chuck" and shipped the Machine to Texas.

Underwood alleged in their petition that it was the modified chuck that released the steel sprocket and that, as a result, "the parts manufactured for and installed on the Machine were

defective and not fit for the ordinary purpose for which such goods are used" since "the Machine's guard door and its frame were not designed to withstand the impact from large, ejected objects that would foreseeably be crafted by the Machine." Underwood also complained of "the absence of warnings, instructions, or labels on the Machine itself or in the Machine's manuals as to the dangers associated with large steel parts being ejected while the operator stands in front of the Machine's door during the machining process."

Their petition states the following jurisdictional facts:

- "Hyundai Korea sells its products to Hyundai America, which then distributes them through Texas sales agents like Hillary and/or Adept, demonstrates a purposeful targeting of the Texas market through an established distribution network."

- "Hillary is a machine tool dealer, sales, and service organization headquartered in Plano, Texas[,] with additional offices in Oklahoma and Texas. Hillary markets, sells, and supports computer numerical control ("CNC") machine tools, accessories, and automation solutions to major manufacturers, contract manufactures, and job shops throughout the Texas, Arkansas, Oklahoma, Louisiana area and even into Mexico. Martin Sprocket is one of the major manufactures with whom Hillary deals."

- "Adept is also a machine tool dealer with its principal place of business in North Carolina. Adept has purposely availed itself of the jurisdiction of Texas by placing its products in the stream of commerce and marketing its products through distributors who have agreed to serve as the sales agents in Texas, namely, Hillary. Together and/or in concert with Hillary, Adept and Hillary sold the Machine at issue to Martin Sprocket."

Adept filed a special appearance, arguing that it had no physical presence in Texas, did not have enough contacts with Texas to support general jurisdiction, and did not have the purposeful contacts with Texas required for specific jurisdiction because "it merely facilitated

the shipment of goods that other [corporate defendant] entities had placed in the steam of commerce." Adept's special appearance was supported by an affidavit of its president, Kelly Schiefen, who stated that Adept did not manufacture or sell the Machine, but merely "packaged the product and arranged for it to be shipped to Martin Sprocket." Schiefen also averred that Adept had no property, office, employee, or bank account in Texas. Schiefen said that Adept does not market to Texas and that its website states that Adept's "Mission is to provide Solution based selling of Machine Tools to manufacturers in North Carolina, South Carolina, and Virginia."

Adept also included its invoice to Hillary showing that it billed Hillary $1,898.45 for "Non-Warranty Services" and delivery of the Machine to Martin Sprocket. Under a description of the services Adept was billing Hillary for, the invoice states, "Preparation of HW LV800 for shipment, including modification of draw tube [sic], and chuck mounting. [Eighteen] Hours at a special rate of $85[.00]/[Hour]."

The trial court permitted jurisdictional discovery, and its results were presented to the trial court in Underwood's response to the special appearance. In its responses to requests for admissions, Adept admitted that it (1) received certain parts that it used to modify the Machine, (2) billed Hillary for eighteen hours of work that included modification of the Machine's drawtube and chuck, and (3) knew that the Machine would be shipped to a Texas company at the time it made the modifications to the Machine.

Emails between Chuck Schiefen, an Adept employee, and Hillary's president, Troy Owen, show that, on March 31, 2016, Owen asked Schiefen what type of adapter needed to be

on the Machine. On April 1, Owen responded that Hillary had "ordered the chuck adapter and drawtube adapter to be shipped directly to Adept" and asked that Hillary be updated when it/they arrived. On the same day, Schiefen responded by stating that Adept "will put it all together when it arrives and finish prepping for shipment." Schiefen said that Adept had cleaned the Machine up and added, "[w]e did some sample parts on the [M]achine for a[n] OEM truck[-]hub manufacturer and the chips were large and chipped away the inside of the [M]achine. Other than that[,] the [M]achine is in new condition with very low power on hours." On April 25, Schiefen informed Owen that the "[d]raw bar [sic] and adapter [wa]s too long" and that Adept could get the Machine "modified" on April 26 and still make a timely delivery. Adept admitted that the Machine was shipped directly to Martin Sprocket. The Machine's bill of lading identified Adept as the shipper of the Machine.

After being presented with this evidence, the trial court denied Adept's special appearance.

III. Law Applicable to the Trial Court's Finding of Personal Jurisdiction

Adept argues that the trial court erred by denying its special appearance because it did not have personal jurisdiction over Adept. "Texas courts may assert *in personam* jurisdiction over a nonresident if (1) the Texas long-arm statute authorizes the exercise of jurisdiction, and (2) the exercise of jurisdiction is consistent with federal and state constitutional due-process guarantees." *Id.* at *4 (quoting *Schexnider*, 2020 WL 6929872, at *4 (quoting *Moki Mac*, 221 S.W.3d at 574 (citing *Schlobohm v. Schapiro*, 784 S.W.2d 355, 356 (Tex. 1990)))).

The Texas long-arm statute reads,

> In addition to other acts that may constitute doing business, a nonresident does business in this state if the nonresident:
>
> > (1) contracts by mail or otherwise with a Texas resident and either party is to perform the contract in whole or in part in this state; [or]
> >
> > (2) commits a tort in whole or in part in this state.

Id. (alteration in original) (quoting TEX. CIV. PRAC. & REM. CODE ANN. § 17.042). "[T]he long-arm statute's broad doing-business language allows the statute to 'reach as far as the federal constitutional requirements of due process will allow.'" *Id.* (alteration in original) (quoting *Schexnider*, 2020 WL 6929872, at *4 (quoting *Moki Mac*, 221 S.W.3d at 575 (quoting *Guardian Royal Exch. Assurance, Ltd. v. English China Clays, P.L.C.*, 815 S.W.2d 223, 226 (Tex. 1991)))).

"Federal due-process requirements limit a state's power to assert personal jurisdiction over a nonresident defendant." *Id.* (quoting *Schexnider*, 2020 WL 6929872, at *4 (quoting *Moki Mac*, 221 S.W.3d at 575 (citing *Guardian Royal*, 815 S.W.2d at 226))). "Personal jurisdiction is proper when the nonresident defendant has established minimum contacts with the forum state, and the exercise of jurisdiction comports with 'traditional notions of fair play and substantial justice.'" *Id.* (quoting *Schexnider*, 2020 WL 6929872, at *4 (quoting *Moki Mac*, 221 S.W.3d at 575 (quoting *Int'l Shoe Co. v. Washington*, 326 U.S. 310, 316 (1945) (quoting *Milliken v. Meyer*, 311 U.S. 457, 463 (1940))))). "The purpose of the minimum contacts analysis is to prevent a foreign corporation from being haled into Texas courts when its relationship to Texas is so remote that it could not reasonably anticipate having to defend itself in a Texas court." *Id.* (quoting *Hitachi Shin Din Cable, Ltd.*, 106 S.W.3d at 782 (citing *World-Wide Volkswagen Corp.*

v. Woodson, 444 U.S. 286, 297 (1980))). "Minimum contacts are sufficient for personal jurisdiction when the nonresident defendant 'purposefully avails itself of the privilege of conducting activities within the forum State, thus invoking the benefits and protections of its laws.'" *Id.* (quoting *Schexnider*, 2020 WL 6929872, at *4 (quoting *Moki Mac*, 221 S.W.3d at 575 (quoting *Hanson v. Denckla*, 357 U.S. 235, 253 (1958) (citing *Int'l Shoe Co.*, 326 U.S. at 319)))).

"A nonresident defendant's forum-state contacts may give rise to two types of personal jurisdiction"—general[2] or specific. *Id.* (quoting *Schexnider*, 2020 WL 6929872, at *4 (quoting *Moki Mac*, 221 S.W.3d at 575 (citing *BMC Software*, 83 S.W.3d at 795–96))). Here, it is specific jurisdiction that is at issue.

"[S]pecific jurisdiction 'may be asserted when the defendant's forum contacts are isolated or sporadic, but the plaintiff's cause of action arises out of those contacts with the state.'" *Id.* at *5 (quoting *Schexnider*, 2020 WL 6929872, at *4 (quoting *Spir Star AG v. Kimich*, 310 S.W.3d 868, 873 (Tex. 2010) (quoting 4 CHARLES ALAN WRIGHT & ARTHUR R. MILLER, FEDERAL PRACTICE AND PROCEDURE § 1067.5 (3d ed. 2002)))). "In specific jurisdiction cases, the analysis focuses on the 'relationship among the defendant, the forum[,] and the litigation.'" *Id.* (alteration in original) (quoting *Schexnider*, 2020 WL 6929872, at *4 (quoting *Spir Star*, 310 S.W.3d at 873 (quoting *Moki Mac*, 221 S.W.3d at 575–76 (quoting *Guardian Royal*, 815 S.W.2d at 228)))).

[2]"A court has general jurisdiction over a nonresident defendant whose 'affiliations with the State are so "continuous and systematic" as to render [it] essentially at home in the forum State.'" *Swanson*, 2021 WL 1031542, at *4 (alteration in original) (quoting *Schexnider*, 2020 WL 6929872, at *4 (quoting *TV Azteca v. Ruiz*, 490 S.W.3d 29, 37 (Tex. 2016) (quoting *Daimler AG v. Bauman*, 571 U.S. 117, 127 (2014) (quoting *Goodyear Dunlop Tires Operations, S.A. v. Brown*, 564 U.S. 915, 919 (2011))))).

"Specific jurisdiction is appropriate when (1) the defendant's contacts with the forum state are purposeful, and (2) the cause of action arises from or relates to the defendant's contacts." *Id.* (quoting *Schexnider*, 2020 WL 6929872, at *4 (quoting *Spir Star*, 310 S.W.3d at 873 (citing *Retamco Operating, Inc. v. Republic Drilling Co.*, 278 S.W.3d 333, 337 (Tex. 2009)))).

"The purposeful-availment requirement has three components." *Id.* (quoting *Schexnider*, 2020 WL 6929872, at *6 (citing *Michiana Easy Livin' Country, Inc. v. Holten*, 168 S.W.3d 777, 785 (Tex. 2005))). "First, only the defendant's contacts with the forum are relevant, not the unilateral activity of another party or a third person." *Id.* (quoting *Schexnider*, 2020 WL 6929872, at *6 (quoting *Moki Mac*, 221 S.W.3d at 575 (citing *Michiana*, 168 S.W.3d at 785))). "Second, the contacts relied on must be purposeful rather than random, fortuitous, or attenuated." *Id.* (quoting *Schexnider*, 2020 WL 6929872, at *6 (quoting *Moki Mac*, 221 S.W.3d at 575 (citing *Michiana*, 168 S.W.3d at 785))). "Thus, '[s]ellers who "reach out . . . and create continuing relationships and obligations with citizens of another state" are subject to the jurisdiction of the latter in suits based on their activities.'" *Id.* (alteration in original) (quoting *Schexnider*, 2020 WL 6929872, at *6 (quoting *Moki Mac*, 221 S.W.3d at 575 (quoting *Michiana*, 168 S.W.3d at 785 (quoting *Burger King Corp. v. Rudzewicz*, 471 U.S. 462, 473 (1985))))). "Finally, the 'defendant must seek some benefit, advantage or profit by "availing" itself of the jurisdiction.'" *Id.* (quoting *Schexnider*, 2020 WL 6929872, at *6 (quoting *Moki Mac*, 221 S.W.3d at 575 (quoting *Michiana*, 168 S.W.3d at 785))).

"The second requirement of specific jurisdiction, that the cause of action arises from or relates to the defendant's forum contacts, 'lies at the heart of specific jurisdiction by defining the required nexus between the nonresident defendant, the litigation, and the forum.'" *Id.* (quoting *Schexnider*, 2020 WL 6929872, at *9 (quoting *Moki Mac*, 221 S.W.3d at 579)). "In Texas, to satisfy this requirement 'there must be a "substantial connection" between the defendant's contacts and the operative facts of the litigation.'" *Id.* (quoting *Schexnider*, 2020 WL 6929872, at *9 (quoting *Spir Star*, 310 S.W.3d at 874 (citing *Moki Mac*, 221 S.W.3d at 585))). "[W]hen a nonresident's only contacts with Texas involve indirect sales through a distributor or subsidiary, specific jurisdiction is limited to claims arising out of those sales." *Id.* (quoting *Schexnider*, 2020 WL 6929872, at *9 (quoting *Spir Star*, 310 S.W.3d at 874 (citing *Alpine View Co. v. Atlas Copco AB*, 205 F.3d 208, 216 (5th Cir. 2000)))).

IV. Factually Sufficient Evidence Supported the Trial Court's Finding of Specific Jurisdiction

First, we address whether Underwood met their burden to plead sufficient facts to bring Adept within the reach of the Texas long-arm statute. Underwood alleged in their petition that Adept contracted with Hillary, a Texas company, to modify the Machine for its Texas customer in exchange for a profit. They also alleged in their petition that Adept knew the modifications were for a Texas customer and that it shipped the product to Texas. They further alleged that the modified chuck installed by Adept was defective and contributed to the accident occurring in Texas. We find that the petition's allegations were sufficient to meet the initial burden to plead that Adept did business in Texas as required by the Texas long-arm statute. *See* TEX. CIV. PRAC.

& REM. CODE ANN. § 17.042. Accordingly, the burden shifted to Adept to negate all bases of jurisdiction alleged in Underwood's petition. *See Swanson*, 2021 WL 1031542, at *6.

The first requirement of specific jurisdiction is purposeful availment. Adept showed that it had no employees, offices, or other physical presence in Texas. However, specific jurisdiction "may not be avoided merely because the defendant did not *physically* enter the forum State." *Burger King*, 471 U.S. at 476. "So long as a commercial actor's efforts are 'purposefully directed' toward residents of another State, we have consistently rejected the notion that an absence of physical contacts can defeat personal jurisdiction there." *Id.* (quoting *Keeton v. Hustler Mag., Inc.*, 465 U.S. 770, 774 (1984)). "This analysis assesses the quality and nature of the contacts, not the quantity." *Moncrief Oil*, 414 S.W.3d at 151 (citing *Retamco*, 278 S.W.3d at 339). For this reason, "[a] substantial connection can result from even a single act." *Id.*

"Purposeful availment includes deliberately engaging in significant activities within a state or creating continuing obligations with residents of the forum." *Glob. Energy Sols., LLC v. Kermit Pipeline, LLC*, 657 S.W.3d 165, 173 (Tex. App.—El Paso 2022, no pet.) (citing *Burger King*, 471 U.S. at 475–76). This "includes seeking profit, benefits, or advantage from the forum. *Id.* (citing *Michiana*, 168 S.W.3d at 785). "It excludes, however, 'random,' 'fortuitous,' or 'attenuated' contacts or the 'unilateral activity of another party or a third person.'" *Id.* (quoting *Burger King*, 471 U.S. at 475; *Michiana*, 168 S.W.3d at 790 (quoting *Keeton*, 465 U.S. at 774)).

While Adept acknowledges that a single act can support specific jurisdiction, it argues that its acceptance of Hillary's contract does not do so because "[p]urposeful availment turns on the defendant's choices" and it was Hillary's decision to reach out to Adept that established

Adept's connection to Texas. Yet, the fact that Hillary contacted Adept does not negate the trial court's implied finding that Adept nonetheless purposefully availed itself of doing business in Texas by accepting a contract that specifically included modifying a product for a Texas customer. *See id.* at 178.

"The 'substantial connection,' between the defendant and the forum State necessary for a finding of minimum contacts must come about by a*n action of the defendant purposefully directed toward the forum State*." *Asahi Metal Indus. Co. v. Super. Ct. of Cal., Solano Cnty.*, 480 U.S. 102, 112 (1987) (citations omitted) (quoting *Burger King*, 471 U.S. at 475). "[C]onduct of the defendant [that] indicate[s] an intent or purpose to serve the market in the forum State, for example, designing the product for the market in the forum State" shows purposeful availment. *Id.*; *Spir Star*, 310 S.W.3d at 873 (quoting *Asahi Metal Indus.*, 480 U.S. at 112); *Glob. Energy Sols.*, 657 S.W.3d at 170 (quoting *Spir Star*, 310 S.W.3d at 873 (quoting *Asahi Metal Indus.*, 480 U.S. at 112)).[3]

Here, the evidence shows that Hillary and Adept discussed modifications to the Machine that were required for a specific Texas consumer, Martin Sprocket. Adept knew that the Machine would be used in Texas and agreed to make the modifications. It contracted with Hillary, a Texas company, and charged them for the modifications, preparation of the Machine for shipment, and shipment of the Machine to Texas. Adept does not negate that it made a profit in doing so. "At its core, the purposeful availment analysis seeks to determine whether a nonresident's conduct and connection to a forum are such that it could reasonably anticipate

[3]We note that nothing in the record alleges that Adept was a manufacturer or designer of the Machine.

being haled into court there." *Moncrief Oil*, 414 S.W.3d at 152 (citing *Burger King*, 471 U.S. at 474). Here, it was foreseeable that Adept could anticipate being haled into court in Texas for alleged damages arising out of the modifications it completed to the Machine. *See Otis Elevator Co.*, 734 S.W.2d at 666; *Glob. Energy Sols.*, 657 S.W.3d at 176. As a result, the evidence supported the trial court's finding that Adept sought "some benefit, advantage or profit by availing itself of" doing business in Texas. *See Moncreif Oil*, 414 S.W.3d at 151 (quoting *Retamco*, 278 S.W.3d at 339 (quoting *Moki Mac*, 221 S.W.3d at 575)); *Spir Star*, 310 S.W.3d at 873 (quoting *Michiana*, 168 S.W.3d at 784).

As for the second requirement of specific jurisdiction—that the cause of action arises from or relates to the defendant's forum contacts—Underwood alleged in their petition that the modifications to the Machine completed by Adept were a contributing cause to the incident resulting in Charles's death. That established the "substantial connection" required between Adept's contacts and the operative facts of the litigation. *See Glob. Energy Sols.*, 657 S.W.3d at 178.

Because the evidence supports the trial court's finding of specific jurisdiction, we find that Adept failed to negate all bases for personal jurisdiction. Even so, we must decide whether the exercise of specific jurisdiction would offend traditional notions of fair play and substantial justice.

"Only in rare cases, however, will the exercise of jurisdiction not comport with fair play and substantial justice when the nonresident defendant has purposefully established minimum contacts with the forum state." *Spir Star*, 310 S.W.3d at 878 (quoting *Guardian Royal*, 815

S.W.2d at 231 (citing *Burger King*, 471 U.S. at 477–78)); *see Galaxy Powersports, LLC v. Benzou Vehicle Indus., Grp. Co.*, No. 3:10-CV-0360-P, 2011 WL 13232161, at *3 (N.D. Tex. Mar. 28, 2011) (order) ("If a defendant benefits from the availability of a particular state's market for its products, it is only fitting that the defendant be amenable to suit in that state."). "To defeat jurisdiction, [the defendant] must present '"a compelling case that the presence of some consideration would render jurisdiction unreasonable"' . . . ." *Spir Star*, 310 S.W.3d at 878–79 (quoting *Guardian Royal*, 815 S.W.2d at 231 (quoting *Burger King*, 471 U.S. at 477)).

In determining whether assumption of jurisdiction over a nonresident defendant will offend traditional notions of fair play and substantial justice,

> due consideration should be given to (1) the burden on the defendant, (2) the interests of the forum state in adjudicating the dispute, (3) the plaintiff's interest in obtaining convenient and effective relief, (4) the interstate judicial system's interest in obtaining the most efficient resolution of controversies, and (5) the shared interest of the several states in furthering fundamental substantive social policies.

LeBlanc v. Kyle, 28 S.W.3d 99, 102–03 (Tex. App.—Texarkana 2000, pet. denied) (citing *World-Wide Volkswagen*, 444 U.S. at 292; *Guardian Royal*, 815 S.W.2d at 228).

In its briefing, Adept does not explain why litigation in Texas would be burdensome to it. It also failed to offer any such explanation below in its special appearance. "The fact that [Adept is] not headquartered in Texas 'cannot, by itself, defeat jurisdiction."' *Swanson*, 2021 WL 1031542, at *12 (quoting *Spir Star*, 310 S.W.3d at 879 (citing *Guardian Royal*, 815 S.W.2d at 231) ("Nor is distance alone ordinarily sufficient to defeat jurisdiction: 'modern transportation and communication have made it much less burdensome for a party sued to defend himself in a

State where he engages in economic activity.'" (citation omitted))). Thus, the trial court could find that requiring Adept to defend claims in Texas would not pose an undue burden for it.

As for the remaining factors, "Texas has a significant interest in exercising jurisdiction over controversies arising from injuries a Texas resident sustains" where the purposeful availment requirement is met. *Amneal Pharms., Inc. v. Cnty. of Dallas*, 694 S.W.3d 875, 887 (Tex. App.—Houston [14th Dist.] 2024, no pet.) (quoting *Spir Star*, 310 S.W.3d at 879). Underwood's interest in obtaining convenient and effective relief also favors litigation in Texas since the accident occurred here, the witnesses regarding causation and damages are here, and there are other Texas defendants involved. No party has addressed the fourth or fifth factors, but (1) the interstate-judicial system's interest in obtaining the most efficient resolution would be better served if the entire litigation were in Texas instead of Underwood having to separately litigate their claims against Adept in North Carolina, and (2) we are unaware of a difference in the "fundamental substantive social policies" of Texas and any other state concerning the matters at issue in this case. *See Spir Star*, 310 S.W.3d at 878 n.3 (quoting *Guardian Royal*, 815 S.W.2d at 232 n.17); *Moncrief Oil*, 414 S.W.3d at 155 (citing *Spir Star*, 310 S.W.3d at 878; *Asahi Metal Indus.*, 480 U.S. at 113).

After reviewing the relevant factors, we find that asserting personal jurisdiction over Adept comports with traditional notions of fair play and substantial justice. Therefore, we find that the trial court did not err by denying Adept's special appearance.

V. Conclusion

We affirm the trial court's denial of Adept's special appearance.

Charles van Cleef
Justice

Date Submitted: October 5, 2026
Date Decided: October 21, 2026